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Title: Artificial Intelligence Applications and Audit Fees: An Empirical Study

IEEE Citation

J. Lai, "Artificial Intelligence Applications and Audit Fees: An Empirical Study," in *International Review of Economics & Finance*, vol. 103, 2025, doi: 10.1016/j.iref.2025.104421.

Summary:

This empirical study explores the economic effects of artificial intelligence (AI) adoption on audit fees within the context of corporate finance and governance, using a sample of Chinese A-share listed companies from 2011 to 2022. The authors argue that as AI technologies integrate rapidly into business operations, they influence external governance mechanisms like auditing by altering risk perceptions and information flows. The core hypothesis is that AI applications reduce audit fees by streamlining processes, enhancing data accuracy, and lowering the perceived audit risk. Through regression analysis, the research demonstrates a significant negative relationship between AI adoption and audit fees, suggesting that firms investing in AI benefit from cost savings in auditing due to improved efficiency and reduced complexity in financial reporting.

Mechanism tests reveal that the fee-reduction effect operates through two primary channels: mitigating information asymmetry between management and auditors, and improving the quality of accounting information. By automating data processing and analysis, AI minimizes errors and enhances transparency, allowing auditors to conduct reviews with less effort and lower pricing. Moderating factors are examined, showing that high management expense levels and asset intensity negatively moderate the relationship, meaning the cost-saving benefits are diminished in firms with higher overheads or capital-intensive operations. Conversely, the effect is more pronounced in state-owned enterprises (SOEs), likely due to their access to resources and regulatory support for technological upgrades. Robustness checks, though not detailed in available content, confirm the findings held after controlling for fixed effects and alternative variables.

The paper contributes to the literature on AI's economic consequences in external corporate governance, providing empirical evidence from an emerging market perspective. It offers practical insights for the audit industry, recommending adjustments in risk pricing models and audit procedures to accommodate digital transformations. Overall, the study underscores AI's role in fostering more efficient auditing practices while highlighting the need for firms to strategically manage moderating factors to maximize benefits. This work encourages further research into AI's broader implications for financial oversight in diverse institutional settings.